FIFTH GENERATION
ADVISERS

Company Review

Resource valuation, risk and investment thesis

COMPANY

enCore Energy Corp. (NASDAQ: EU | TSXV: EU)

ANALYSIS DATE

October 13, 2026

METHOD

Don Durrett 10-factor method and sum-of-the-parts (USD)

PREPARED BY

Robert Maxwell, Fifth Generation Advisers

Read the Conflicts of Interest and Important Disclosures sections before relying on this report.

CONFIDENTIAL | ALL FIGURES IN U.S. DOLLARS | FOR INFORMATIONAL PURPOSES ONLY

© 2026 Fifth Generation Advisers. All rights reserved.

Executive Summary

enCore Energy is a Tier 1 (USA) uranium in-situ recovery (ISR) producer with Alta Mesa (70%) and the Rosita plant in South Texas, plus a development pipeline in Texas, South Dakota and Wyoming [1][2]. The Durrett 10-factor score is 6.1 / 10 (carried from Oct 9; not re-scored). Our sum of the parts (0.83 weight on M&I where no reserve exists, 1.3x AISC ex-capital, stage factors applied to cash flows and remaining capex, 5% mid-year discount rate, $115M notes at face, 206.1M fully diluted shares) gives $1.11, $1.84 and $4.27 per share at U3O8 of $85, $100 and $150, against a price near $1.08 [3][21]. With 100% of remaining capex deducted the values are $0.51, $1.24 and $3.67. Analyst targets were not retrieved, so no base-case comparison is shown.

Main drags: weak H1 2026 extraction (131,274 lb vs 317,613 lb a year earlier; $57.36/lb extraction cost) and a 360,000 lb spot purchase in Q2 to meet deliveries [1][8], a CEO change in April 2026 [8], thin cash against $115M of convertible notes [1][4], a US$250M at-the-market (ATM) equity program larger than the market cap [14], and Dewey-Burdock permitting risk, about half of project NAV [6]. Recommendation: Hold. Data Quality Score 6.75 / 10 under the earlier method. NOTE: several figures (listed in the Data Quality Audit) are provisional.

$1.08	~$0.21B	6.1 / 10	+70%
PRICE (USD)	MARKET CAP	DURRETT SCORE	SOTP VS. PRICE (BASE)

Recommendation: Hold. The $85 case is 3% above the market price and the $100 case 70% above it, but the result depends on stage-weighting capex (full capex gives $1.24 at $100, +15%). Dilution capacity, Dewey-Burdock permitting, contract coverage and weak operations are key risks.

Market cap = $1.08 x 194.3M shares outstanding [3]; fully diluted 206.1M (adds 7.5M options and 4.3M RSUs). The $1.08 price predates the Sept 30, 2026 Verdera distribution and is likely stale [18]. All USD; no FX conversion.

Project List

PROJECT	LOCATION	OWNERSHIP	STATUS
Alta Mesa (ISR)	Texas, USA	70%	Production; ramp-up [2][5]
Rosita (ISR plant)	Texas, USA	100%	Production; no resource in RAG file, not valued [2]
Mesteña Grande	Texas, USA	100%	Exploration-stage; PEA (Feb 2025), ~98% inferred [2][19]
Dewey-Burdock	South Dakota, USA	100%	Pre-production; permits pending [2][6]
Gas Hills	Wyoming, USA	100%	PEA (Dec 2024) [2]
Juniper Ridge	Wyoming, USA	100%	Pre-PEA; 2017 technical report [2]

Table 1. Sources: project RAG JSON (merged 2026-01-30) [2]; filings [1][5]; permitting update [6]. Boss Energy holds the other 30% of Alta Mesa. Not modeled: South Texas Integrated Projects (Upper Spring Creek, Cadena, Rosita) and Alta Mesa East.

Project Locations

Schematic map not included in this version. South Texas, South Dakota and Wyoming project areas; positions approximate.

Reserves, Resources and Plausible Value

PROJECT	P&P	M&I	INFERRED	PLAUSIBLE (100%)	ATTRIB.	PRIOR ATTRIB.
Alta Mesa (70%)	none	3.356	4.455	4.122	2.885	2.463
Mesteña Grande	none	0.287	13.601	4.319	4.319	4.267
Dewey-Burdock	none	17.122	0.713	14.425	14.425	11.343
Gas Hills	none	6.164	none	5.116	5.116	4.007
Juniper Ridge (prov.)	none	2.315	none	1.921	1.921	1.505
Total attributable					**28.667**	**23.585**

Table 2. Units: Mlb U3O8, 100% basis except attributable. Sources: S-K 1300 / NI 43-101 data in the RAG JSON [2]. Juniper Ridge uses a 2017 report (prov.). None of the five projects reports a proven and probable reserve, so the 0.83 no-reserve M&I weight is applied to all of them [21].

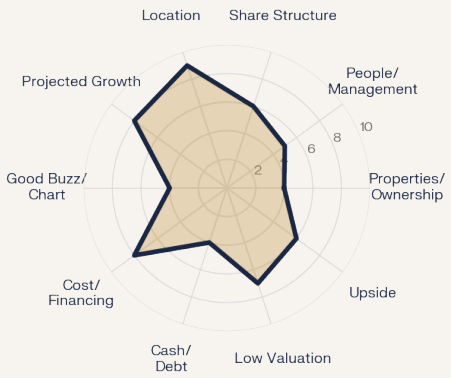
Plausible = 0.83 x M&I + 0.30 x Inferred where no reserve is reported (0.90 x P&P + 0.65 x (M&I minus reserves) + 0.30 x Inferred where one is). Alta Mesa: 3.356x0.83 + 4.455x0.30 = 4.122 (x70% = 2.885). Mesteña Grande: 0.287x0.83 + 13.601x0.30 = 4.319. Dewey-Burdock: 17.122x0.83 + 0.713x0.30 = 14.425. Gas Hills: 6.164x0.83 = 5.116. Juniper Ridge: 2.315x0.83 = 1.921.

10-Factor Analysis

FACTOR	SCORE	RATING	RATIONALE
Properties / Ownership	4	Weak	Tier 3 assets in a Tier 1 jurisdiction; Alta Mesa 70% JV [2]
People / Management	5	Fair	CEO replaced Apr 2026, founder returned as Executive Chair; extraction shortfalls [1][8]
Share Structure	6	Fair	206.1M fully diluted [3]; $115M converts at $3.29 with capped call to ~$4.52 [4][20]; US$250M ATM [14]
Location	9	Excellent	USA, Tier 1; Dewey-Burdock permitting open [6]
Projected Growth	8	Strong	Upper Spring Creek built; multi-project pipeline [7]
Good Buzz / Chart	4	Weak	Price down 5% to $1.02-$1.08 in early Oct [3]; provisional
Cost / Financing	8	Strong	AISC $29-40 ex-capital vs $85-$150, but extraction cost $57.36/lb [1][2][19]
Cash / Debt	4	Weak	Cash $21.8M vs $115M convertible notes at face [1][4]
Low Valuation Estimate	7	Good	EV about $0.26B, about $9 per plausible lb
Upside Potential	6	Fair	SOTP at $150 is 4.0x price; late-stage timing factors
Total	**61 / 10 =**		**6.1**

Table 3. Equal-weighted under the Durrett 2.2 rubric; People, Share Structure, Buzz and Cash/Debt are judgment calls. Scores carried from the Oct 9 report; rationale text updated for new inputs.

Radar Chart



Valuation: Sum of the Parts

Margin per lb = U3O8 price minus 1.3x AISC (AISC excludes initial capital and income tax). Plausible pounds are spread evenly over mine life, discounted at 5% (mid-year) and multiplied by the stage factor. Remaining initial capex is discounted at 5% (two years before start, year midpoints) and receives the same stage factor as the project's NAV [21].

PROJECT	ATTRIB. Mlb	START (yrs)	LIFE (yrs)	AISC $/lb	PADDED AISC	STAGE
Alta Mesa	2.89	0.5	21	36.42	47.35	1.00
Mesteña Grande	4.32	3	9	29.39	38.21	0.40
Dewey-Burdock	14.43	4	14	35.01	45.51	0.60
Gas Hills	5.12	6	7	30.93	40.21	0.40
Juniper Ridge	1.92	8	10	40.00	52.00	0.40

Table 4. AISC and mine life from the RAG JSON [2], except Mesteña Grande: the RAG $53.18/lb is the PEA's fully loaded after-tax cost (operating 25.49 + ad valorem 0.30 + royalty 3.60 + initial capital 12.97 + federal tax 10.82 [19]); capital is deducted separately and tax sits in the 1.3x pad, so $29.39 is used. Start dates are assumptions. Stage mapping: Production 1.00; Dewey-Burdock = pre-feasibility 0.60 (client override); PRE_PFS / PEA-stage and exploration-stage Mesteña Grande = 0.40.

USD MILLIONS	$85	$100	$150
Alta Mesa NAV (stage-weighted)	66.3	92.8	180.8
Mesteña Grande NAV	56.5	74.6	135.0
Dewey-Burdock NAV	203.7	281.1	539.0
Gas Hills NAV	57.9	77.3	142.0
Juniper Ridge NAV	13.6	19.8	40.3
Project NAV	**398.1**	**545.6**	**1,037.2**
Less: capex PV, Dewey-Burdock ($93.0M x 0.60)	(55.8)	(55.8)	(55.8)
Less: capex PV, Gas Hills ($44.3M x 0.40)	(17.7)	(17.7)	(17.7)
Less: capex PV, Mesteña Grande ($100.5M x 0.40)	(40.2)	(40.2)	(40.2)

USD MILLIONS	$85	$100	$150
Less: capex PV, Alta Mesa ($17.3M x 1.00)	(17.3)	(17.3)	(17.3)
SOTP enterprise value	**267.1**	**414.6**	**906.2**
Plus: cash	21.8	21.8	21.8
Plus: marketable securities, ex-distributed Verdera	37.3	37.3	37.3
Plus: U3O8 inventory, 203,304 lb at scenario price	17.3	20.3	30.5
Less: convertible notes (face value)	(115.0)	(115.0)	(115.0)
Equity value	**228.5**	**379.0**	**880.8**
Per share (206.1M diluted)	**$1.11**	**$1.84**	**$4.27**
vs. current price ($1.08)	+3%	+70%	+295%

Table 5. Cash $21.8M; securities $52.2M less $14.9M of Verdera shares distributed Sept 30, 2026 = $37.3M [1][18]; inventory 203,304 lb (cost $14.4M, $70.81/lb) marked to scenario price, gross of selling costs and tax [17]; $115M 5.50% notes due Aug 2030 deducted at face (carrying $110.2M); conversion price ~$3.29 with a capped call (cap ~$4.52) that offsets dilution up to the cap, so no conversion shares are added at any scenario (the $150 value of $4.27 is below the cap) [4][13][20]. Capex PV before stage weighting: Dewey-Burdock $105.0M early capital = $93.0M [15]; Gas Hills $55.2M = $44.3M [16]; Mesteña Grande $108.1M = $100.5M; Alta Mesa $25.9M x 70% = $17.3M [19]; with 100% of remaining capex deducted, per-share values are $0.51, $1.24 and $3.67. Dewey-Burdock's $264.2M total includes later wellfield spend assumed inside AISC; Alta Mesa's wellfield portion may also sit in AISC. A stage factor is a valuation haircut, not a probability; a project that proceeds bears the full capital.

Sensitivities

Illustrative scenarios; not a forecast or price target.

CASE ($100 URANIUM)	PER SHARE	VS. BASE	RATIONALE
Base case	$1.84	n/a	Table 5 at $100
100% of remaining capex deducted	$1.24	-33%	Unweighted capital
0.65 weight on all M&I (prior method)	$1.38	-25%	Effect of the 0.83 no-reserve weight [21]
Dewey-Burdock NAV 50% lower	$1.16	-37%	Permit delay or denial; analyst assumption
$100M equity raise at $1.08 (92.6M shares)	$1.60	-13%	Funding illustration; analyst assumption
Short contracting: 360,000 lb/quarter bought at $100 spot for 4 quarters, delivered at an assumed $65 contract price	$1.60	-13%	Q2 2026 spot purchase [8]; $65 contract price is an assumption (2024 average $84.85/lb [9])
All non-producing projects (and their capex) start 1 year later	$1.76	-4%	Schedule slip; analyst assumption

Table 6. All cases are analyst assumptions. Each extra quarter of spot purchases costs about $0.06 per share.

Analyst Cross-Check

SOURCE	RATING	TARGET (USD)
Not retrieved	n/a	n/a

Table 7. Analyst targets were not retrieved; add broker data before client distribution.

Input Assumptions Disclosure

INPUT	VALUE	BASIS
U3O8 price	$85 / $100 / $150, flat	Client scenarios; not a forecast
Discount rate / cost pad	5% mid-year / 1.3x	Client instruction
Resource weights	0.90 P&P / 0.83 no-reserve M&I (0.65 where a reserve exists) / 0.30 inferred	FGA Methodology, Oct 13, 2026 [21]
AISC basis	Ex-initial capital, ex-income tax	FGA Methodology; Mesteña Grande $29.39 [19][21]
Capex	Stage-weighted: Dewey-Burdock $105.0M; Gas Hills $55.2M; Mesteña Grande $108.1M; Alta Mesa $25.9M x 70%	[15][16][19]; Juniper Ridge not itemized (gap)
Capex timing	Two years before start, year midpoints, 5%	Analyst assumption
FX	n/a	All USD
Start dates	0.5 / 3 / 4 / 6 / 8 yrs	Analyst assumption
Cash / securities / inventory	$21.8M / $37.3M / 203,304 lb	Q2 2026 results [1][17]; Verdera adjusted [18]
Convertible notes	$115M face; 5.50%; due Aug 2030; $3.29 conversion; capped call to ~$4.52	10-Q; 8-K [4][13][20]
Shares	206.1M diluted	194.3M basic + 7.5M options + 4.3M RSUs [3]
Contract price (sensitivity)	$65/lb	Analyst assumption

Table 8. Rosita valued at zero (no resource data). Several project records predate Q2 2026.

Capital Raise Outlook (18 months)

Probability of a meaningful equity raise (about $50M or more): about 65%; forced raise: about 25%. On Aug 13, 2026 enCore put in place a US$250M ATM program, about 1.2x the market cap, and Q2 2026 cash was only $21.8M [1][14]. Needs include Mesteña Grande, Upper Spring Creek, Dewey-Burdock, corporate burn and spot purchases. How many shares have been sold under the program was not found.

This section is analyst judgment, not a sourced forecast.

Capital Raise History

DATE	EVENT	SIZE (USD)	ISSUE PRICE (USD)	NEW SHARES (M)	DILUTION %	SOURCE
Aug 13, 2026	At-the-market (ATM) program, Cantor Fitzgerald: shares sold to date not found	$0 found of $250M facility	not found	not found	not found	[14]
Aug 22, 2025	5.50% convertible senior notes due 2030 (potential shares on conversion)	$115M	3.29 conv.	35.0 (pot ential)	not found	[13]
Feb 26, 2024	Boss Energy Alta Mesa JV (30% interest sold)	$60M	n/a	n/a	n/a	[12]

DATE	EVENT	SIZE (USD)	ISSUE PRICE (USD)	NEW SHARES (M)	DILUTION %	SOURCE
Feb 2023	Public offering of units (C$34.5M; 10,615,650 units at C$3.25)	about $25M (approx.)	about 2.4	10.6	not found	[11]
Mar 25, 2022	Bought-deal public offering (C$30M)	about $24M (approx.)	not found	not found	not found	[10]
Total	**Equity only, last 4 years (partial)**	**not summed**			**not found**	

Table 9. Dilution % requires shares before each event, which were not retrieved. The Aug 2025 notes show potential shares at the conversion price (115 / 3.29 = 35.0M); potential, not issued; a capped call (cost $11.5M, cap ~$4.52) offsets dilution between $3.29 and the cap [20]. USD sizes for Canadian-dollar offerings are approximate. Earlier ATM usage ($2.0M in Q1 2024; program suspended Apr 2024) and the Feb 2024 Boss share purchase and note conversion were not re-verified.

Red Flags and Investor Concerns

Red Flag: Management and contract coverage. The board replaced the CEO on Apr 20, 2026 and returned the founder as Executive Chair; Q2 2026 needed a 360,000 lb spot purchase to meet deliveries. Pending permits point to relief no earlier than 2027 [8].

Red Flag: Dilution capacity. The US$250M ATM is about 1.2x the market cap, and cash of $21.8M is thin against $115M of notes [1][14].

Red Flag: Execution. H1 2026 extraction was 131,274 lb vs 317,613 lb a year earlier; extraction cost rose to $57.36/lb [1].

Red Flag: Dewey-Burdock permitting. About half of project NAV depends on a project still seeking state permits [6].

Red Flag: Valuation depends on capex treatment. Stage-weighting remaining capex lifts the $100 value from $1.24 to $1.84 per share; corporate overhead and other liabilities are not deducted [21].

Red Flag: People (5), Share Structure (6), Good Buzz (4), Cash / Debt (4). Thin liquidity against $115M of notes, weak price action and potential dilution [1][3][4].

Observations and Next Steps

Watch the Q3 2026 report for extraction ramp, Alta Mesa and Upper Spring Creek permits, spot-purchase volumes and ATM usage. NEW PROJECT DATA NOT APPLIED (RAG predates it): the Feb 2025 Gas Hills report shows 7.705 Mlb M&I, 0.428 Mlb inferred, an 11-year life and $40.61/lb all-in cost, versus 6.164 Mlb, 7 years and $30.93 in the RAG; Dewey-Burdock life is 21 to 28 years in company summaries versus 14 in the RAG. The RAG Mesteña Grande AISC ($53.18) is fully loaded and should be corrected. Not modeled: the South Texas Integrated Projects (Upper Spring Creek, Cadena, Rosita; 3.527 Mlb M&I, 0.308 Mlb inferred [19]), Alta Mesa East, corporate overhead

and cash burn, other liabilities (payables, leases, reclamation) and ATM dilution. Verify the Verdera securities adjustment, Alta Mesa capex basis, option strikes, the post-distribution share price, Gas Hills and Juniper Ridge resources, and the contract book and price. The RAG JSON (merged 2026-01-30) predates the Q2 2026 10-Q.

Data Quality Audit

Data Quality Score 6.75 / 10 under the earlier method (accuracy 6.5, hallucination control 7.0, sycophancy 7.0); v7 re-scoring pending. Verified: ownership and resources from the RAG JSON [2]; Q2 2026 results, inventory and 10-Q [1][4][17]; CEO change [8]; Mesteña Grande cost components [19]; note terms [13][20]. Provisional: price and market cap [3]; spot purchase volume (secondary [8]); contract price; start dates; stage mapping; Juniper Ridge (2017 report); Rosita (no resource); Alta Mesa capex basis; Verdera adjustment; other balance-sheet items; ATM usage; equity-raise dates and sizes. Internal self-assessment, not an independent audit.

Sources and Footnotes

#	SOURCE
[1]	enCore Energy, Q2 2026 results release (Aug 13, 2026): cash, securities, extraction, costs.
[2]	Project RAG JSON (merged 2026-01-30); S-K 1300 / NI 43-101 data (FY2024 10-K).
[3]	enCore share structure page (Aug 31, 2026); Yahoo Finance, MarketBeat (Oct 2026).
[4]	enCore Form 10-Q, Q2 2026 and Q1 2026: convertible notes, liabilities.
[5]	Alta Mesa JV with Boss Energy (30%): RAG JSON entry; FY2024 10-K.
[6]	Black Hills Clean Water Alliance, Dewey-Burdock update (Sep 2026) (advocacy source).
[7]	enCore press release (Jun 4, 2026): Upper Spring Creek construction complete.
[8]	enCore press release (Apr 20, 2026): CEO change; Holdco Markets Q2 2026 summary (Aug 17, 2026) (secondary).
[9]	enCore Q3 2024 results (Nov 14, 2024): 530,000 lb sold at $84.85/lb average.
[10]	enCore press release (Mar 25, 2022): C$30M bought deal.
[11]	enCore press release (Feb 2023): C$34.5M public offering.
[12]	enCore MD&A for six months ended Jun 30, 2024 and Q1/24 ATM update (Apr 4, 2024).
[13]	enCore press release and 8-K (Aug 22, 2025): $115M convertible notes.
[14]	enCore press release (Aug 13, 2026): US$250M ATM program.
[15]	Dewey-Burdock S-K 1300 PEA (effective Oct 8, 2024): total capital $264.2M, $105.0M in 2027-2029.
[16]	enCore release (Feb 27, 2025): Gas Hills PEA, initial capital $55.2M.
[17]	enCore Q2 2026 financial results (Aug 2026): inventory 203,304 lb at weighted average cost $70.81/lb; liquidity.
[18]	enCore release (Oct 1, 2026): distribution of Verdera Energy common shares to shareholders.
[19]	enCore release (Feb 27, 2025): S-K 1300 technical reports; Mesteña Grande PEA (capital $108.1M; operating cost $25.49/lb; cost components), Alta Mesa capital $25.9M, South Texas Integrated Projects.
[20]	enCore pricing release and 8-K (Aug 2025): conversion rate 303.9976 per $1,000; capped call (cost $11.5M, cap ~$4.52).
[21]	Fifth Generation Advisers, Methodology Guide effective Oct 13, 2026.

All sources accessed Oct 9-13, 2026.

Conflicts of Interest, Holdings and Compensation

ITEM	DISCLOSURE
Compensation for this analysis	Fifth Generation Advisers receives no compensation of any kind, to or from enCore Energy Corp., its officers, directors, affiliates, underwriters or financing agents, or any other third party, in connection with this analysis.
Independence of the analysis	Prepared from public information, without review or input from enCore Energy Corp. No analysis is free of bias; model assumptions, scores and judgment calls are ours and are identified.
Positions	As of Oct 13, 2026, positions of the firm, principals, employees and advisory clients in enCore Energy Corp. are not material: fewer than 100,000 shares in total across all of them [TO RECONFIRM].
Other relationships	No investment-banking, advisory, consulting, finder or other relationship with enCore Energy Corp. exists, and none existed in the past 12 months.
General and impersonal	General and impersonal; not tailored to any recipient and not personalized advice.
Third-party method	The 10-factor framework follows Don Durrett's published method; Fifth Generation Advisers is not affiliated with, endorsed by or compensated by Mr. Durrett. Method adapted from How to Invest In Gold and Silver - D. Durrett: https://a.co/d/01XVxUfE

Important Disclosures

Nature of this report. General and impersonal, for informational purposes only; not investment, tax or legal advice and not an offer or solicitation. Fifth Generation Advisers is registered as an investment adviser [TO CONFIRM: registrant, Form ADV URL]; registration does not imply a certain level of skill or training.

Scenarios are not forecasts. Per-share values, upside percentages, sensitivities and capital-raise probabilities are hypothetical outputs of the stated assumptions, not price targets. Metal prices are held flat; the discount rate and cost pad are analyst choices.

Mineral resource figures. Reserves and resources are estimates; inferred resources are speculative. "Plausible" pounds are our own weighting (0.83 x M&I + 0.30 x Inferred where no reserve is reported; 0.90 x P&P + 0.65 x (M&I minus reserves) + 0.30 x Inferred otherwise) and are not a category recognized under SEC S-K 1300 or NI 43-101. The 0.83 weight is a modeling choice, not a recovery probability.

Principal risks. Commodity price; financing and dilution; permitting, regulatory and political; operating and execution; liquidity and volatility; cross-listing and currency; estimation risk. Loss of all principal is possible. Past performance does not guarantee future results.

Report status and key limitations.

- **General and impersonal.** Not tailored to any person and not personalized advice.
- **Rating.** Hold is the firm's general opinion over the next 12 months as of the analysis date; not a recommendation to buy, hold or sell.
- **Scenarios, not forecasts.** Values are illustrative outputs at flat metal prices of $85, $100 and $150; not price targets.
- **Model limits.** Remaining capex is stage-weighted (full-capex values shown as a sensitivity) and Juniper Ridge capex is not itemized; Rosita, South Texas Integrated Projects, Alta Mesa East and exploration assets are valued at zero; start dates are assumed; corporate overhead and other liabilities are not deducted; inventory is marked at scenario prices gross of selling costs; the RAG JSON predates Q2 2026.
- **Compensation and conflicts.** No paid compensation received; see the Conflicts section.

Copyright. © 2026 Fifth Generation Advisers. All rights reserved. Not for redistribution.